

While the returns during different decades can vary considerably, the standard deviations of those returns during these independent 10-year periods tend to be more stable than the returns themselves. [Table 11-2](#) highlights the standard deviation of market returns over the same decades starting in 1955.

[Figure 11-1](#) compares the rolling 10-year annualized return of U.S. stocks to the rolling 10-year standard deviation of those returns. Notice that the volatility of the stock market is more consistent than the return on the market. Also note that the periods of highest volatility were also the periods of lowest return.

Bond market volatility has not been as consistent as stock volatility over the last 50 years. During the late 1970s and early 1980s, unusually high inflation caused an aberration in fixed-income prices. Interest rates surged with inflation to historic levels, and this caused an increased volatility of bond prices. By the late 1990s, bond market volatility had subsided to more moderate levels and remained there until 2007. [Figure 11-2](#) illustrates the rolling 10-year standard deviation of various fixed-income investments.

Volatility is not risk in itself; rather, is it an indication of some economic risk in that it signifies rapid change in the attitude of investors toward making bets on that asset. Each asset class has its own unique financial risks that generate the price swings, and it may be subject to a greater overriding economic risk. For example, stock market volatility is an indication of a widespread change in corporate earnings estimates. Treasury bond market volatility is an indication of a widespread change in expected inflation. An increase in corporate bond volatility may result from higher expected inflation, a slowdown in economic activity, or both.

FIGURE 11-1

The Relationship between Risk and Return, CRSP Total U.S. Stock Market Index